SEE A BRIGHTER WAY

Research

United States

Industrial | Q1 2026

Los Angeles

- Q1 2026 showed selective recovery, led by large-format occupiers, while smaller spaces saw contraction. Leasing activity was concentrated among logistics and aerospace and defense users.
- Submarket performance diverged as Class A conditions stabilized in several areas. Rent corrections improved affordability and supported flight to quality, while some submarkets faced rightsizing amid pricing pressures.
- Looking ahead, occupiers are expected to focus more on Class A space, with power capacity and efficiency gaining importance, as expiring leases encourage strategic timing in a gradually stabilizing market.

Fundamentals		Forecast
YTD net absorption	–765,919 s.f.	↑
Under development	3.63 million s.f.	→
Preleased	38.7%	→
YTD deliveries	276,555 s.f.	→
Total vacancy	7.3%	↓
Total availability	10.5%	↓
Average asking rent	$1.38 p.s.f.	→
Concessions	Stable	→

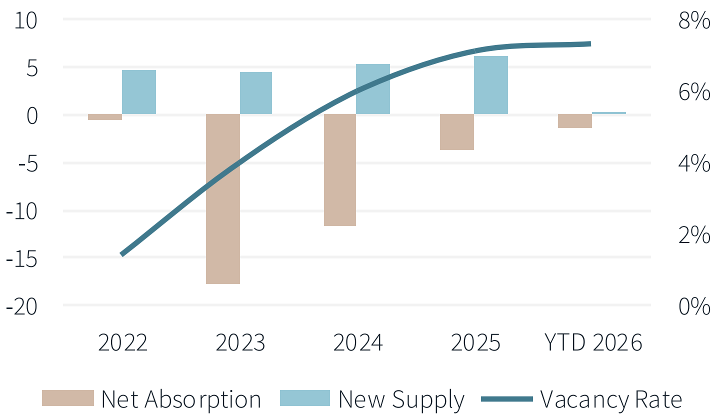
Q1 2026 demonstrated selective market recovery with large-format users driving expansion, evidenced by 13 move-ins versus 5 move-outs in the 100,000 s.f. plus size segment, while contraction was concentrated in sub-50,000 s.f. spaces. High-credit logistics operators and aerospace/defense (A&D) companies dominated leasing volume, with venture-backed A&D firms expanding aggressively in the South Bay, exemplified by Antares' 177,000 s.f. expansion. Anduril's announced 1.0 million s.f. Long Beach campus which will include 435,000 s.f. of industrial space is expected to catalyze an ecosystem of supporting companies in neighboring submarkets including the Mid-Counties. The South Bay recorded the quarter's highest leasing volume and net absorption as Class A vacancy declined 200 basis points Q-o-Q.

Central LA mirrored this Class A stabilization with vacancy contracting 110 basis points as logistics users prioritized functional buildings supporting final-mile distribution. Mid-Counties experienced a 9.6% Y-o-Y correction in Class A asking rents, improving affordability and making quality space more accessible. The San Gabriel Valley recorded its highest quarter of negative net absorption since Q4 2022 as the tenant base diversifies from its historical 70% Asian user composition, with occupiers navigating pricing pressures and rightsizing strategies. However, market fundamentals remained strong with the lowest vacancy and availability rates across Greater Los Angeles. The LA construction pipeline remained stable this quarter with only three additional buildings added into the pipeline, all of which are speculative developments.

Looking forward, tenant focus is expected to shift increasingly toward Class A product as asking rents have corrected to meet market conditions and falling from COVID premiums. Power capacity and operational efficiency are becoming more critical decision factors, particularly for A&D companies and high-credit logistic tenants. As leases signed at peak COVID-era rates approach expiration, tenants have the opportunity to lock in rents that have since adjusted in the last several years, even as market fundamentals are starting to swing toward landlord favorable conditions in some submarkets.

Historical supply and demand trends

s.f. (millions)



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Ivana Lowe
Senior Research Analyst
Ivana.Lowe@jll.com